

Strategic and Technology Related Risk at Amazon

ALY 6130 Group Assignment

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Amazon is one of the most diversified companies in the world, operating a global retail marketplace, Amazon Web Services, an expansive logistics and fulfillment network, a growing devices and advertising business, and a rapidly expanding presence in artificial intelligence. This breadth is a source of competitive strength, but it also concentrates a distinct category of exposure that is best understood as strategic and technology related risk. Unlike operational or compliance risks, which tend to arise from day to day execution, strategic and technology risks stem from the long range choices Amazon makes about where to invest, which competitors to confront, and how heavily to rely on the technology platforms that run its business. This report examines the most significant of these risks for Amazon and outlines how the company can manage them.

Defining Strategic and Technology Risk

Strategic risk refers to the possibility that a company's fundamental business decisions, or its failure to adapt to a changing environment, will undermine its objectives and erode shareholder value. Technology risk is closely related and refers to the threat posed by the failure, obsolescence, or compromise of the systems and digital infrastructure on which the business depends. For Amazon the two are deeply intertwined, because the company's strategy is itself built on technology. Decisions about cloud architecture, automation, and artificial intelligence are simultaneously strategic bets and technology dependencies, which means a misstep in one area can quickly become a problem in the other (Hopkin, 2018). Recognizing this overlap is important, because it explains why these risks tend to carry both high probability and high impact when mapped onto a risk assessment matrix.

Key Strategic and Technology Risks Facing Amazon

Dependence on Amazon Web Services

Amazon Web Services generates a large share of Amazon's operating income and supports much of the wider internet, which makes its reliability a strategic concern rather than a purely technical one. A prolonged regional outage disrupts thousands of enterprise customers at once, triggers service level agreement penalties, and weakens the trust that underpins the company's most profitable segment. Because the probability of large scale disruption is realistically high and the impact is severe, this risk sits firmly in the high priority quadrant of any risk chart. The strategic dimension is that Amazon's continued growth assumes AWS will remain the dominant and most dependable cloud provider, an assumption that intensifying competition from Microsoft Azure and Google Cloud is steadily challenging (Amazon, 2024).

Intensifying Competition and the Race in Artificial Intelligence

Amazon faces aggressive competition on multiple fronts, including retail rivals such as Walmart, cloud rivals such as Microsoft and Google, and advertising rivals that are capturing digital ad spending. The most pressing strategic technology risk in this space is the generative artificial intelligence race. If Amazon falls behind in developing and integrating advanced AI models across AWS and its consumer products, it risks ceding both cloud market share and customer mindshare to faster moving competitors. At the same time, moving too aggressively carries its own danger. As the Bizfluent article on risk probability cautions, overcorrecting for one risk can create new ones, and a company that rushes product launches, compresses testing timelines, or accepts excessive technical debt to keep pace may simply trade a competitive risk for a quality and reliability risk (Skyler, 2018).

Cybersecurity and Data Protection

As a technology company that processes payment and behavioral data for hundreds of millions of customers, Amazon is a constant target for cyberattacks. A successful breach would cause direct financial loss, regulatory penalties under regimes such as the General Data Protection Regulation and the California Consumer Privacy Act, and lasting reputational harm. The strategic significance is that Amazon's entire model depends on customer trust, so a major breach would not be an isolated technical incident but an event capable of slowing growth across every business line. The high likelihood of attempted attacks, combined with the severity of a successful one, places cybersecurity among Amazon's highest priority risks.

Regulatory and Structural Pressure

Amazon also faces the strategic risk that regulators in the United States and the European Union could force structural change, such as separating AWS from the retail business or restricting how the company treats third party sellers. The probability of a forced breakup in the near term is comparatively low, but the impact would be transformative, which places this risk in the low probability, high impact quadrant. The lawsuit brought by the Federal Trade Commission illustrates that this exposure is real rather than hypothetical, and it reinforces the article's warning that companies should not let a heavy compliance focus distract them from the more probable strategic and technology risks that affect operations every day (Federal Trade Commission, 2023).

Managing Strategic and Technology Risk

Amazon can manage these risks through a combination of redundancy, diversification, and structured assessment. On the technology side, the company already invests heavily in redundant infrastructure, multiple availability zones, and continuous security testing, all of which reduce the impact of outages and breaches. On the strategic side, diversification across retail, cloud, advertising, and devices means that weakness in one area does not threaten the entire enterprise. The most useful tool, however, is the disciplined application of a risk assessment framework. By scoring each risk on probability and impact and multiplying the two into a composite priority score, Amazon's leadership can ensure that resources flow to the threats that matter most rather than to whichever risk is most visible at the moment. This approach is consistent with recognized

enterprise risk management methodology and keeps the company forward looking rather than merely reactive (COSO, 2017).

Conclusion

Strategic and technology related risk is central to Amazon because the company's strategy and its technology are inseparable. Its dependence on AWS, the intensifying artificial intelligence race, persistent cybersecurity threats, and the possibility of structural regulatory intervention all carry meaningful consequences for the company's future. By understanding how likely each risk is and how severe its impact would be, and by combining redundancy and diversification with a structured probability and impact assessment, Amazon can continue to pursue ambitious growth while protecting the trust and reliability on which its business ultimately depends.

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